



Meijburg & Co
Tax & Legal

Country-by-Country Risk Analyzer



Public Country-by-Country reporting

Multinational enterprises with a global consolidated net turnover exceeding EUR 750 million and with operations in the EU will have to comply with upcoming public Country-by-Country Reporting regulations. These regulations are (mostly) in line with the current OECD Country-by-Country Reporting regulations, but there are some relevant aspects on which they differ.

As a result of this initiative MNEs will be forced to provide insights regarding their operations in EU member states and jurisdictions listed on the EU non-cooperative list & grey list. In this regard, MNEs must analyse what information will be shared within the public domain. This can be achieved by applying the two assessment tools, developed by the OECD, to assist tax authorities in their review and analysis of CbC data—specifically, the Tax Risk Assessment Questionnaire (TRAQ) and the Tax Risk Evaluation and Assessment Tool (TREAT).

The OECD has specifically identified 19 BEPS-related risk factors in the two assessment tools. These factors include the following ratios that, if high relative to the other jurisdictions in the MNE group, may indicate BEPS:



Related-party revenues/total revenues



Total revenues or profit before tax (PBT)/employees



Total revenues or PBT/ tangible assets



Pretax return on equity: PBT/ (stated capital + accumulated earnings)



Post-tax return on equity: (PBT – income tax accrued)/(stated capital + accumulated earnings)



Profit margin: PBT/revenues

Pillar 2 – safe harbours

As part of the global Base Erosion and Profit Shifting (BEPS) project (Pillar 2), the OECD’s Inclusive Framework has released a series of safe harbours that provide an option for MNEs to bypass extensive GloBE calculations.

The GloBE rules are based on an effective tax rate (ETR) and ensure that foreign income will be taxed at an ETR of at least 15%. By opting for one of the following safe harbours, MNEs can potentially undertake simplified calculations using data from CbC reports (revenue and income) and financial accounting information (tax expenses).

The three transitional safe harbours are as follows:

1	2	3
De Minimis Test	Effective Tax Rate Test	Routine Profits Test

The abovementioned safe harbours will be tested per jurisdiction and must be analysed on an annual basis. The transition period covers all of the Fiscal Years beginning on or before 31/12/2026, but not including a Fiscal Year that ends after 30/06/2028. After this period a potential permanent safe harbour regime will be introduced, resembling the transitional safe harbour framework.

Only data from ‘Qualified CbC Reports’ can be used when apply for the abovementioned safe harbours, meaning it has to be filed with a respective tax authority and prepared using Qualified Financial Statements (e.g. consolidated statements of the Ultimate Parent Entity).

How KPMG Meijburg & Co can help

The KPMG Country-by-Country Risk Analyzer can help MNEs analyse their Public CbC reporting positions to identify potential risk areas within each relevant taxing jurisdiction. This tool is intended to mimic the type of review, analysis, and tools of external stakeholders and point out possible future discussion points.

The tool analyses MNEs’ CbC reporting positions based on the risk criteria identified by the OECD and other relevant factors, such as materiality risk (e.g., entity size within the observed tax jurisdiction relative to the MNE group) and tax authority risk factors (e.g., aggressiveness of a particular country’s tax authority based on KPMG experience and the company’s audit history) as well as a number of other useful analytics and visualizations. By pulling together the OECD’s 19 risk factors and other relevant information, the Risk Analyzer provides a detailed view into the tax exposure emanating from an MNE’s CbC reporting positions as well as an overall risk rating for each country listed on its CbC report.

Furthermore the Risk Analyzer provides indicative outcomes for the three Pillar 2 - safe harbours, using the CbC data as a base. Meijburg can also help you to further enhance the CbC data, to reflect the OECD Guidance on Pillar 2 and your local legislation.



The Risk Analyzer presents its analysis through interactive data visualizations that effectively highlight an MNE's Public CbC risk to help understand where they might best focus their efforts and resources to manage and address risk. In addition, the tool can analyse up to five years of data, which includes current and future years. This enables Meijburg to assist MNEs in their development of current year CbC reports by performing a year-over-year comparison against prior reporting positions while also forecasting opportunities for future years.

Next steps for MNEs in the post-BEPS world

MNEs must prepare themselves for the uncharted territory of increased tax transparency and sweeping global tax reform. Analysing CbC reporting positions should be the first and most basic step in getting prepared. MNEs armed with information about the risks presented by their CbC reporting positions will be better equipped to determine whether:

- Their global value chains have been properly documented.
- They should consider restructuring to reduce the risk for potential controversy.
- They should consider other proactive risk mitigation measures, such as entering into advance pricing agreements in key jurisdictions.

Meijburg offers a range of services to help companies with evaluating and addressing these next steps, including:

- **Tax controversy & dispute resolution services** assist MNEs in taking practical steps to improve their in-house processes to prepare for the expected surge in tax controversies and to better manage controversies within their organization.
- **Value chain management services** use a fully integrated multidisciplinary global network of professionals from KPMG Meijburg International firms to help businesses identify, assess, and execute business model improvements that, when aligned with strategic tax, trade, and treasury structures, produce competitively advantaged operational and financial efficiencies.
- **KPMG impact tax services** assist clients through all stages of their tax environmental, social, and governance (ESG) journey. Meijburg can assist MNEs in crafting their tax strategies, governance, and controls to help ensure they satisfy key internal stakeholders while protecting commercially sensitive material.

In addition, the global **KPMG Impact** network has technology solutions available that enable MNEs to source data and visualize the impact of mandatory European Union public CbC reporting and then run scenarios that take into account both additional taxes (e.g., VAT, payroll, etc.) as well as various geographic groupings to help identify an optimal target reporting model.

Contact

For more information about the Meijburg&Co Country-by-Country Risk Analyzer, contact your Meijburg tax adviser or visit our website at [Country-by-Country reporting | Meijburg & Co.](#)

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